Session 1: Monetary Policy and Financial Markets

Background: Artificial intelligence (AI) poses a profound challenge to monetary policymaking and financial stability. Recent forecasts published by industrial and academic economists contain scenarios for growth and technological diffusion unprecedented in size and scope. AI may fundamentally alter the natural benchmarks around which monetary policy is calibrated. However, in the short term, policymakers are confronting a financial system that has placed large and leveraged bets on a technology whose benefits and costs are uncertain. An additional concern is that balance sheets may not fully capture the investment underpinning AI's expansion. Perhaps the most formidable challenge for central bankers is navigating the disjuncture between the present financial enthusiasm for AI and the uncertain future economic order that enthusiasm presupposes.

Lead speakers:

Andrew Bailey, Governor of the Bank of England and Chair of the Financial Stability Board

Ben Bernanke, Distinguished Fellow, The Brookings Institution; former Chair of the Federal Reserve Board of Governors

Stijn Van Nieuwerburgh, Earle W. Kazis and Benjamin Schore Professor of Real Estate and Professor of Finance at Columbia University

Focus: The discussions would focus on the following questions[1]:
(1) What factors are materially relevant to the likelihood and severity of an AI-driven financial market correction?

- Through what channels could a correction spread across the financial system?
- Would the existing central banking playbook be sufficient to address such an event, or might the nature of the underlying risks require a different policy response?

(2) What challenges will central banks face globally in navigating the transition between AI buildout financing and longer-term economic consequences?
(3) How should the monetary policy toolkit be redesigned in the age of transformative AI?

Outcomes: (1) A clearer judgment of the near-term financial risks that AI could impose on capital markets and the broader financial system. (2) A shared view of the potential vulnerability points that AI may place on the monetary policy toolkit and how it may need to evolve.

[1] The questions below are illustrative and intended to help speakers and participants frame the discussion; they are not exhaustive.